

Specialty Drug and Formulary Coverage Policy 2026

Effective January 1, 2026 | Confidential · For Internal Use

1. Formulary Tiers

The formulary is organized into four tiers: Tier 1 (preferred generic), Tier 2 (non-preferred generic), Tier 3 (preferred brand), and Tier 4 (specialty and high-cost medications). Members pay the lowest cost-sharing for Tier 1 medications and the highest for Tier 4 specialty drugs. Formulary exceptions may be requested when a non-formulary medication is medically necessary.

2. Prior Authorization for Specialty Drugs

All specialty medications (Tier 4) require prior authorization before dispensing. Specialty drugs are defined as medications with a cost exceeding \$600 per 30-day supply or requiring special handling, storage, or administration. Prior authorization criteria are based on FDA-approved indications, clinical guidelines, and evidence-based medicine. Authorization is valid for 12 months with annual renewal required.

3. Step Therapy Requirements

Step therapy (also called fail-first) is required for specialty biologics, disease-modifying antirheumatic drugs (DMARDs), and certain oncology supportive care medications. Members must have documented clinical failure or contraindication to at least two preferred alternative therapies before specialty drug approval. Step therapy requirements apply to all commercial and Medicare Advantage members effective January 1, 2026.

4. Biologics and Biosimilars

FDA-approved biosimilars are preferred over reference biologics when clinically appropriate and interchangeable. Biosimilar substitution is permitted unless the prescribing physician indicates medical necessity for the reference product (do not substitute). Covered biologics include TNF inhibitors (adalimumab, etanercept), IL inhibitors, and checkpoint inhibitors for oncology indications.

5. Oncology Medications

Oral oncolytics and targeted therapy agents require prior authorization with oncology clinical criteria. Documentation required includes cancer type, stage, prior treatment history, ECOG performance status, and relevant biomarker testing results. Specialty oncology pharmacy network participation is required for dispensing. Coverage includes FDA-approved uses and National Comprehensive Cancer Network (NCCN) Category 1 and 2A recommendations.

6. Medication Management and Monitoring

Members on specialty medications are enrolled in the Specialty Pharmacy Management Program. Clinical pharmacists conduct medication therapy management (MTM) reviews every 6 months. Adherence monitoring is conducted via claims data. Members demonstrating non-adherence are contacted for clinical support. Specialty medications are dispensed through the specialty pharmacy network only.

7. Formulary Exceptions and Appeals

Formulary exceptions may be requested when a non-formulary or higher-tier drug is medically necessary. Exception requests require physician attestation of medical necessity and documentation of formulary alternative failure or contraindication. Standard exception decisions are made within 72 hours. Urgent exception decisions are made within 24 hours.